

COMMITTEE ON EDUCATION
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 4034
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[~~GREEN STRIKEOUT IN BRACKETS~~] indicates new text removed from statute or previously enacted session law.

[~~Green strikeout in brackets~~] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<~~Green strikeout in carets~~>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 15-393, Arizona Revised Statutes, is amended to
3 read:

4 15-393. Career technical education boards; report:
5 definitions

6 A. The management and control of a career technical education
7 district are vested in the career technical education [district governing]
8 board, including the content and quality of the courses offered by the
9 district, the quality of teachers who provide instruction on behalf of the
10 district, the salaries of teachers who provide instruction on behalf of
11 the district, THE FUNDING FOR THE DISTRICT'S AVERAGE DAILY MEMBERSHIP and
12 the reimbursement of other entities for the facilities used by the
13 district. This section does not restrict a school district from offering
14 any career and technical education course that does not qualify for
15 funding as a career technical education course or career technical
16 education district program. Unless the governing boards of the school
17 districts participating in the formation of the career technical education
18 district vote to implement an alternative election system as provided in
19 subsection B of this section, the career technical education board
20 consists of five members elected from five single member districts formed
21 within the career technical education district. The single member
22 district election system shall be submitted as part of the plan for the
23 career technical education district pursuant to section 15-392 and shall
24 be established in the plan as follows:

25 1. The governing boards of the school districts participating in
26 the formation of the career technical education district shall define the
27 boundaries of the single member districts so that the single member
28 districts are as nearly equal in population as is practicable, except that

1 if the career technical education district lies in part in each of two or
2 more counties, at least one single member district may be entirely within
3 each of the counties comprising the career technical education district if
4 this district design is consistent with the obligation to equalize the
5 population among single member districts.

6 2. The boundaries of each single member district shall follow
7 election precinct boundary lines, as far as practicable, in order to avoid
8 further segmentation of the precincts.

9 3. A person who is a registered voter of this state and who has
10 been a resident of the single member district for at least one year
11 immediately preceding the date of the election is eligible for election to
12 the office of career technical education board member from the single
13 member district. The terms of office of the members of the career
14 technical education board shall be as prescribed in section 15-427,
15 subsection B. An employee of a career technical education district or the
16 spouse of an employee shall not hold membership on a governing board of a
17 career technical education district by which the employee is employed. A
18 member of one school district governing board or career technical
19 education [district governing] board is ineligible to be a candidate for
20 nomination or election to or serve simultaneously as a member of any other
21 governing board, except that a member of a governing board may be a
22 candidate for nomination or election for any other governing board if the
23 member is serving in the last year of a term of office. A member of a
24 governing board shall resign the member's seat on the governing board
25 before becoming a candidate for nomination or election to the governing
26 board of any other school district or career technical education district,
27 unless the member of the governing board is serving in the last year of a
28 term of office. Members of a career technical education [district
29 governing] board are subject to the conflict of interest requirements
30 prescribed in section 38-503.

31 4. Nominating petitions shall be signed by the number of qualified
32 electors of the single member district as provided in section 16-322.

33 B. The governing boards of the school districts participating in
34 the formation of the career technical education district may vote to
35 implement any other alternative election system for the election of career
36 technical education [district] board members. If an alternative election
37 system is selected, it shall be submitted as part of the plan for the
38 career technical education district pursuant to section 15-392, and the
39 implementation of the system shall be as approved by the United States
40 justice department.

41 C. Career technical education districts are subject to the
42 following provisions of this title:

- 43 1. Chapter 1, articles 1, 2, 3, 4, 5 and 6.
- 44 2. Sections 15-208, 15-210, 15-213 and 15-234.
- 45 3. Articles 2, 3 and 5 of this chapter.
- 46 4. Section 15-361.
- 47 5. Chapter 4, articles 1, 2 and 5.

1 6. Chapter 5, articles 1 and 3.
2 7. Sections 15-701.01, 15-722, 15-723, 15-724, 15-727, 15-728,
3 15-729 and 15-730.
4 8. Chapter 7, article 5.
5 9. Chapter 8, articles 1, 3 and 4.
6 10. Sections 15-828 and 15-829.
7 11. Chapter 9, article 1, article 6, except for section 15-995, and
8 article 7.
9 12. Sections 15-941, 15-943.01, 15-953 and 15-973.
10 13. Sections 15-1101 and 15-1104.
11 14. Chapter 10, articles 2, 3, 4 and 8.
12 D. Notwithstanding subsection C of this section, the following
13 apply to a career technical education district:
14 1. A career technical education district may issue bonds for the
15 purposes specified in section 15-1021 and in chapter 4, article 5 of this
16 title to an amount in the aggregate, including the existing indebtedness,
17 not exceeding one percent of the net assessed value of the full cash value
18 of the property within the career technical education district. For the
19 purposes of this paragraph, "full cash value" and "net assessed value"
20 have the same meanings prescribed in section 42-11001.
21 2. The number of governing board members for a career technical
22 education district shall be as prescribed in subsection A of this section.
23 3. The student count for the first year of operation of a career
24 technical education district as provided in this article shall be
25 determined as follows:
26 (a) Determine the estimated student count for career technical
27 education district classes that will operate in the first year of
28 operation. This estimate shall be based on actual registration of pupils
29 as of March 30 scheduled to attend classes that will be operated by the
30 career technical education district. The student count for the school
31 district of residence of the pupils registered at the career technical
32 education district shall be adjusted. The adjustment shall cause the
33 school district of residence to reduce the student count for the pupil to
34 reflect the courses to be taken at the career technical education
35 district. The school district of residence shall review and approve the
36 adjustment of its own student count as provided in this subdivision before
37 the pupils from the school district can be added to the student count of
38 the career technical education district.
39 (b) The student count for the new career technical education
40 district shall be the student count as determined in subdivision (a) of
41 this paragraph.
42 (c) For the first year of operation, the career technical education
43 district shall revise the student count to the actual average daily
44 membership as prescribed in section 15-901, subsection A, paragraph 1 for
45 students attending classes in the career technical education district. A
46 career technical education district shall revise its student count, the
47 base support level as provided in section 15-943.02, the revenue control

1 limit as provided in section 15-944.01 and the district additional
2 assistance as provided in section 15-962.01 before May 15. A career
3 technical education district that overestimated its student count shall
4 revise its budget before May 15. A career technical education district
5 that underestimated its student count may revise its budget before May 15.

6 (d) After March 15 of the first year of operation, the school
7 district of residence shall adjust its student count by reducing it to
8 reflect the courses actually taken at the career technical education
9 district. The school district of residence shall revise its student
10 count, the base support level as provided in section 15-943, the revenue
11 control limit as provided in section 15-944 and the district additional
12 assistance as provided in section 15-962.01 prior to May 15. A district
13 that underestimated the student count for students attending the career
14 technical education district shall revise its budget before May 15. A
15 district that overestimated the student count for students attending the
16 career technical education district may revise its budget before May 15.

17 (e) The procedures for implementing this paragraph shall be as
18 prescribed in the uniform system of financial records.

19 For the purposes of this paragraph, "school district of residence" means
20 the school district that included the pupil in its average daily
21 membership for the year before the first year of operation of the career
22 technical education district and that would have included the pupil in its
23 student count for the purposes of computing its base support level for the
24 fiscal year of the first year of operation of the career technical
25 education district if the pupil had not enrolled in the career technical
26 education district.

27 4. A student includes any person enrolled in the career technical
28 education district without regard to the person's age or high school
29 graduation status, except that:

30 (a) A student in a kindergarten program or in any of grades one
31 through eight who enrolls in courses offered by the career technical
32 education district shall not be included in the career technical education
33 district's student count or average daily membership.

34 (b) A student in a kindergarten program or in any of grades one
35 through eight who is enrolled in career and technical education courses
36 shall not be funded in whole or in part with monies provided by a career
37 technical education district, except that a pupil in grade eight may be
38 funded with monies generated by the \$.05 qualifying tax rate authorized in
39 subsection F of this section.

40 (c) A student who has graduated from high school or received a
41 general equivalency diploma or who is over twenty-one years of age shall
42 not be included in the student count of the career technical education
43 district for the purposes of chapter 9, articles 3, 4 and 5 of this title.

44 5. A career technical education district may operate for more than
45 one hundred eighty days per year, or less, with the equivalent number of
46 hours of instruction.

1 6. A career technical education district may use the carryforward
2 provisions of section 15-943.01.

3 7. A school district that is part of a career technical education
4 district shall use any monies received pursuant to this article to
5 supplement and not supplant base year career and technical education
6 courses, and directly related equipment and facilities, except that a
7 school district that is part of a career technical education district and
8 that has used monies received pursuant to this article to supplant career
9 and technical education courses that were offered before the first year
10 that the school district participated in the career technical education
11 district or the first year that the school district used monies received
12 pursuant to this article or that used the monies for purposes other than
13 for career and technical education courses shall use one hundred percent
14 of the monies received pursuant to this article to supplement and not
15 supplant base year career and technical education courses. Each
16 applicable school district shall provide a report to the career technical
17 education board and the department of education outlining the required
18 maintenance of effort and how monies were used to supplement and not
19 supplant base year career and technical education courses and directly
20 related equipment and facilities. THE CAREER TECHNICAL EDUCATION BOARD
21 MAY MONITOR, REVIEW AND AUDIT EACH PARTICIPATING SCHOOL DISTRICT'S AND
22 EACH CHARTER SCHOOL'S USE OF MONIES THAT ARE DISTRIBUTED BY THE CAREER
23 TECHNICAL EDUCATION DISTRICT PURSUANT TO THIS ARTICLE TO ENSURE THAT THE
24 SCHOOL DISTRICT OR CHARTER SCHOOL USES THE MONIES TO SUPPLEMENT AND NOT
25 SUPPLANT FEDERAL, STATE OR LOCAL FUNDING FOR CAREER AND TECHNICAL
26 EDUCATION. EACH SCHOOL DISTRICT AND CHARTER SCHOOL THAT RECEIVES MONIES
27 PURSUANT TO THIS ARTICLE SHALL SUBMIT TO THE CAREER TECHNICAL EDUCATION
28 BOARD ANY FINANCIAL RECORDS, DOCUMENTATION OR INFORMATION REQUESTED BY THE
29 [CAREER TECHNICAL EDUCATION] BOARD THAT IS REASONABLY NECESSARY FOR THE
30 OVERSIGHT AUTHORIZED BY THIS PARAGRAPH. [THE CAREER TECHNICAL EDUCATION
31 BOARD SHALL SUBMIT TO EACH SCHOOL DISTRICT THAT IS PART OF THE CAREER
32 TECHNICAL EDUCATION DISTRICT A QUARTERLY REPORT THAT INCLUDES THE
33 AGGREGATE CAREER TECHNICAL EDUCATION DISTRICT EXPENDITURES AND THE CAREER
34 TECHNICAL EDUCATION DISTRICT EXPENDITURES FOR THE BENEFIT OF EACH
35 PARTICIPATING SCHOOL DISTRICT.]

36 8. A career technical education district shall use any monies
37 received pursuant to this article to enhance and not supplant career and
38 technical education courses and directly related equipment and facilities.

39 9. A career technical education district or a school district that
40 is part of a career technical education district or a charter school shall
41 only include pupils in grades nine through twelve and pupils in the school
42 year immediately following graduation in the calculation of student count
43 or average daily membership if the pupils are enrolled in courses that are
44 approved jointly by the governing board of the career technical education
45 district and each participating school district or charter school for
46 satellite courses taught within the participating school district or
47 charter school, or approved solely by the career technical education

1 district for centrally located courses. Funding may be provided for not
2 more than four years for the same student. Student count and average
3 daily membership from courses that are not part of an approved program for
4 career and technical education shall not be included in student count and
5 average daily membership of a career technical education district.

6 10. A career technical education district may build, maintain and
7 provide housing facilities and support services for students who are in
8 foster care or who meet the definition of unaccompanied youth as defined
9 in the McKinney-Vento homeless assistance act (P.L. 100-77; 101 Stat. 482;
10 42 United States Code section 11434a).

11 E. The career technical education board shall appoint a
12 superintendent as the executive officer of the career technical education
13 district.

14 F. Taxes may be levied for the support of the career technical
15 education district as prescribed in chapter 9, article 6 of this title,
16 except that a career technical education district shall not levy a
17 property tax pursuant to law that exceeds \$.05 per \$100 assessed valuation
18 except for bond monies pursuant to subsection D, paragraph 1 of this
19 section. Such taxes shall be obtained from a levy of taxes on the taxable
20 property used for secondary tax purposes.

21 G. The schools in the career technical education district are
22 available to all persons who reside in the career technical education
23 district and to pupils whose school district of residence within this
24 state is paying tuition on behalf of the pupils to a district of
25 attendance that is a member of the career technical education district,
26 subject to the rules for admission prescribed by the career technical
27 education board.

28 H. The career technical education board may collect tuition for
29 adult students and the attendance of pupils who are residents of school
30 districts that are not participating in the career technical education
31 district pursuant to arrangements made between the governing board of the
32 school district and the career technical education board.

33 I. The career technical education board may accept gifts, grants,
34 federal monies, tuition and other allocations of monies to erect, repair
35 and equip buildings and for the cost of operating the schools of the
36 career technical education district.

37 J. One member of the career technical education board shall be
38 selected chairperson. The chairperson shall be selected annually on a
39 rotation basis from among the participating school districts. The
40 chairperson of the career technical education board shall be a voting
41 member.

42 K. A career technical education board may enter into agreements to
43 provide for administrative, operational and educational services and
44 facilities with either:

45 1. A community college district.

46 2. A university under the jurisdiction of the Arizona board of
47 regents only if the community college district, if any, for each county in

1 which the career technical education district is located is not able to
2 offer the course or program in the next school year. For the purposes of
3 this paragraph, a community college district is not able to offer a course
4 or program if both of the following apply:

5 (a) On or before November 1 of each year, the career technical
6 education board notifies the president or chancellor of the community
7 college district in writing that the career technical education district
8 seeks to offer one or more courses or programs, or both, that are BOTH:

9 (i) Not offered through an existing agreement between the career
10 technical education board and the community college district.

11 (ii) ~~Are~~ Available through a university under the jurisdiction of
12 the Arizona board of regents.

13 (b) The president or chancellor of the community college district
14 either:

15 (i) Not later than thirty days after the president or chancellor
16 receives the notice pursuant to subdivision (a) of this paragraph,
17 notifies the superintendent of the career technical education district in
18 writing that no community college district is able to offer the course or
19 program in the next school year.

20 (ii) Fails to respond to the superintendent of the career technical
21 education district within thirty days after the president or chancellor of
22 the community college district receives the notice pursuant to subdivision
23 (a) of this paragraph.

24 L. Any agreement between the governing board of a career technical
25 education district and another career technical education district, a
26 school district, a charter school, a university or a community college
27 district shall be in the form of an intergovernmental agreement or other
28 written contract [THAT IS EXECUTED ON OR BEFORE JULY 1 OF THE FIRST YEAR
29 IN WHICH THE AGREEMENT OR CONTRACT IS EFFECTIVE]. The auditor general
30 shall modify the uniform system of financial records and budget forms in
31 accordance with this subsection. The intergovernmental agreement or other
32 written contract shall completely and accurately specify each of the
33 following:

34 1. The financial provisions of the intergovernmental agreement or
35 other written contract and the format for the billing of all services.

36 2. The accountability provisions of the intergovernmental agreement
37 or other written contract.

38 3. The responsibilities of each career technical education
39 district, each school district, each charter school, each university and
40 each community college district that is a party to the intergovernmental
41 agreement or other written contract.

42 4. The type of instruction that will be provided under the
43 intergovernmental agreement or other written contract, including
44 individualized education programs pursuant to section 15-763.

45 5. The quality of [the instruction, AS DETERMINED BY THE CAREER
46 TECHNICAL EDUCATION DISTRICT GOVERNING BOARD,] [EACH INSTRUCTOR, INCLUDING
47 THE MINIMUM QUALIFICATIONS, RELEVANT INDUSTRY EXPERIENCE AND

1 INDUSTRY-RELEVANT PROFESSIONAL DEVELOPMENT,] that will be provided under
2 the intergovernmental agreement or other written contract. [THE SCHOOL
3 DISTRICT, THE CHARTER SCHOOL, THE UNIVERSITY OR THE COMMUNITY COLLEGE
4 DISTRICT SHALL OVERSEE THE EVALUATION OF THE INSTRUCTOR UNLESS THE
5 INTERGOVERNMENTAL AGREEMENT OR WRITTEN CONTRACT PROVIDES OTHERWISE.]

6 6. The transportation services that will be provided under the
7 intergovernmental agreement or other written contract and the manner in
8 which transportation costs will be paid.

9 7. The amount that the career technical education district will
10 contribute to a course and the amount of support required by the school
11 district, the charter school, the university or the community college.

12 8. That~~[-]~~ [the services provided by] ~~[IF THE AVERAGE DAILY~~
13 ~~MEMBERSHIP GENERATED BY A PROGRAM OR COURSE IS INSUFFICIENT TO PAY FOR THE~~
14 ~~COSTS OF DELIVERING THE PROGRAM OR COURSE,]~~ the career technical education
15 district, the school district, the charter school, the university or the
16 community college district [be proportionally calculated in the cost of
17 delivering the service] ~~[SHALL PAY A PROPORTIONAL SHARE OF THE COST OF~~
18 ~~DELIVERY, AS CALCULATED BY THE CAREER TECHNICAL EDUCATION DISTRICT~~
19 ~~GOVERNING BOARD].~~

20 9. That the payment for services shall not exceed the cost of the
21 services provided. [IF THE AVERAGE DAILY MEMBERSHIP THAT IS GENERATED BY
22 A PROGRAM OR COURSE IS INSUFFICIENT TO PAY FOR THE COSTS OF DELIVERING THE
23 PROGRAM OR COURSE, THE PARTICIPATING SCHOOL DISTRICT MAY USE FUNDING THAT
24 IS GENERATED BY OTHER PROGRAMS OR COURSES AND THAT EXCEEDS THE COSTS OF
25 DELIVERING THE OTHER PROGRAMS OR COURSES TO PAY FOR THE SHORTFALL.]

26 10. That the career technical education district will provide the
27 following minimum services for all member districts:

28 (a) Professional development of career and technical teachers in
29 the career technical education district who are teaching programs or
30 courses at a satellite campus.

31 (b) Ongoing evaluation and support of satellite campus programs and
32 courses to ensure quality and compliance.

33 11. An itemized listing of other goods and services that are
34 provided to the member district and that are paid for by the retention of
35 satellite campus student funding.

36 [12. THAT ANY PARTY TO THE INTERGOVERNMENTAL AGREEMENT OR WRITTEN
37 CONTRACT MAY FILE A COMPLAINT WITH THE STATE BOARD OF VOCATIONAL EDUCATION
38 UNDER RULES ADOPTED BY THE STATE BOARD OF EDUCATION ACTING AS THE STATE
39 BOARD OF VOCATIONAL EDUCATION REGARDING A DISPUTE ARISING FROM THE
40 INTERGOVERNMENTAL AGREEMENT OR WRITTEN CONTRACT. THE STATE BOARD OF
41 EDUCATION SHALL RESOLVE ANY COMPLAINT THAT IS SUBMITTED PURSUANT TO THIS
42 PARAGRAPH NOT LATER THAN THIRTY DAYS AFTER IT RECEIVES THE COMPLAINT AND
43 ANY REQUIRED DOCUMENTATION.

44 13. THAT IF A CAREER TECHNICAL EDUCATION DISTRICT AND A SCHOOL
45 DISTRICT DO NOT AGREE TO A SPECIFIED APPORTIONMENT ON OR BEFORE JULY 1,
46 THE STATE BOARD OF EDUCATION ACTING AS THE STATE BOARD OF VOCATIONAL

1 EDUCATION SHALL MEDiate THE DISPUTE AND DETERMINE THE APPORTIONMENT FOR
2 THE SCHOOL YEAR NOT LATER THAN AUGUST 1.]

3 M. A member school district or charter school may not submit
4 requests to approve or add satellite campus career technical education
5 district programs or courses directly to the career and technical
6 education division of the department of education but shall submit all
7 appropriate application documentation and materials for programs or
8 courses to the career technical education district. On approval from the
9 career technical education board, a career technical education district
10 shall only submit requests to approve or add satellite campus career
11 technical education district programs or courses directly to the career
12 and technical education division of the department of education, which
13 shall determine whether the criteria prescribed in section 15-391,
14 paragraphs 2 and 4 have been met. If the career and technical education
15 division of the department of education determines that a course does not
16 meet the criteria for approval as a career technical education course, the
17 governing board of the career technical education district may appeal this
18 decision to the state board of education acting as the state board of
19 vocational education. [THE CAREER TECHNICAL EDUCATION BOARD AND THE
20 CAREER AND TECHNICAL EDUCATION DIVISION OF THE DEPARTMENT OF EDUCATION
21 SHALL ACCEPT AND CONSIDER REQUESTS PURSUANT TO THIS SUBSECTION FROM JULY 1
22 THROUGH JUNE 30 OF EACH YEAR.]

23 N. Notwithstanding any other law, the average daily membership for
24 a pupil who is enrolled in a career technical education course and who
25 does not meet the criteria specified in subsection P, Q or R of this
26 section shall be 0.25 for each course, except the sum of the average daily
27 membership shall not exceed the limits prescribed by subsection D, P, Q or
28 R of this section, as applicable.

29 O. If a career and technical education course or program is
30 provided on a satellite campus, the sum of the average daily membership,
31 as provided in section 15-901, subsection A, paragraph 1, for that pupil
32 in the school district or charter school and career technical education
33 district shall not exceed 1.25. ~~[The school district or charter school~~
34 ~~and the career technical education district shall determine the~~
35 ~~apportionment]~~ Of the [1.25] average daily membership [. A MAXIMUM OF 1.0
36 SHALL BE ATTRIBUTED TO THE SCHOOL DISTRICT OR CHARTER SCHOOL AND A MAXIMUM
37 OF 0.25 SHALL BE ATTRIBUTED TO THE CAREER TECHNICAL EDUCATION DISTRICT,
38 UNLESS OTHERWISE APPORTIONED PURSUANT TO AN INTERGOVERNMENTAL AGREEMENT.]
39 ~~[for that pupil between the school district or charter school and the~~
40 ~~career technical education district, EXCEPT THAT AT LEAST 0.25 OF THE~~
41 ~~AVERAGE DAILY MEMBERSHIP FOR THAT PUPIL MUST BE ALLOCATED TO THE CAREER~~
42 ~~TECHNICAL EDUCATION DISTRICT UNLESS AN INTERGOVERNMENTAL AGREEMENT OR~~
43 ~~WRITTEN CONTRACT BETWEEN]~~ THE SCHOOL DISTRICT OR CHARTER SCHOOL AND THE
44 CAREER TECHNICAL EDUCATION DISTRICT [SHALL DETERMINE THE] [PURSUANT TO
45 SUBSECTION L OF THIS SECTION PRESCRIBES A DIFFERENT] APPORTIONMENT [OF THE
46 0.25 AVERAGE DAILY MEMBERSHIP PURSUANT TO A FULLY EXECUTED
47 INTERGOVERNMENTAL AGREEMENT. IN THE ABSENCE OF A FULLY EXECUTED

1 INTERGOVERNMENTAL AGREEMENT, THE SCHOOL DISTRICT OR CHARTER SCHOOL SHALL
2 NOT REPORT AN AVERAGE DAILY MEMBERSHIP FOR A SATELLITE CAMPUS COURSE OR
3 PROGRAM. AND AVERAGE DAILY MEMBERSHIP SHALL NOT BE GENERATED FOR THAT
4 COURSE OR PROGRAM]. A pupil who attends a course or program at a
5 satellite campus and who is not enrolled in the school district or charter
6 school where the satellite campus is located may generate the average
7 daily membership of up to 0.25 for one hundred fifty instructional hours
8 of enrollment for instruction received during any hour of the day, during
9 any day of the week and at any time between July 1 and June 30 of each
10 fiscal year pursuant to this subsection if the pupil is enrolled in a
11 school district that is a member district in the same career technical
12 education district.

13 P. The sum of the average daily membership of a pupil who is
14 enrolled in both the school district and career technical education course
15 or career technical education program provided by a community college or
16 university pursuant to subsection K of this section or at a centralized
17 campus shall not exceed 1.75. The average daily membership for a pupil
18 who is enrolled in a career technical education course or career technical
19 education program provided by a community college or university shall be
20 0.25 for the accumulation of every three community college or university
21 credits for which a student is enrolled in career technical education
22 courses. The member school district and the career technical education
23 district shall determine the apportionment of the average daily membership
24 and student enrollment for that pupil between the member school district
25 and the career technical education district, except that the amount
26 apportioned shall not exceed 1.0 for either entity. Notwithstanding any
27 other law, the average daily membership for a pupil who is in grade nine,
28 ten, eleven or twelve or in the school year immediately following
29 graduation and who is enrolled in a course that meets for at least one
30 hundred fifty minutes per class period at a centralized campus shall be
31 0.75. To qualify for funding pursuant to this subsection, a centralized
32 campus shall offer programs and courses to all eligible students in each
33 member district of the career technical education district. Students in
34 an approved career technical education program may generate an average
35 daily membership of up to 1.75 for instruction received during any hour of
36 the day, during any day of the week and at any time between July 1 and
37 June 30 of each fiscal year. Average daily membership shall not be
38 calculated on the one hundredth day of instruction for the purposes of
39 this section. Average daily membership shall be calculated by dividing
40 the instructional hours of enrollment by six hundred hours, except that:

- 41 1. At least one hundred fifty hours and less than three hundred
42 hours equals 0.25 average daily membership.
- 43 2. At least three hundred hours and less than four hundred fifty
44 hours equals 0.5 average daily membership.
- 45 3. At least four hundred fifty hours and less than six hundred
46 hours equals 0.75 average daily membership.
- 47 4. At least six hundred hours equals 1.0 average daily membership.

1 Q. The average daily membership for a pupil who is in grade nine,
2 ten, eleven or twelve or in the school year immediately following
3 graduation and who is enrolled in a course that meets for at least one
4 hundred fifty minutes per class period at a leased centralized campus
5 shall not exceed 0.75. Students in an approved career technical education
6 program provided by a leased centralized campus may generate an average
7 daily membership for instruction received during any hour of the day,
8 during any day of the week and at any time between July 1 and June 30 of
9 each fiscal year. Average daily membership shall be calculated by
10 dividing the instructional hours of enrollment by six hundred hours,
11 except that:

12 1. At least one hundred fifty hours and less than three hundred
13 hours equals 0.25 average daily membership.

14 2. At least three hundred hours and less than four hundred fifty
15 hours equals 0.5 average daily membership.

16 3. At least four hundred fifty hours and less than six hundred
17 hours equals 0.75 average daily membership.

18 4. At least six hundred hours equals 1.0 average daily membership.

19 R. The sum of the average daily membership, as provided in section
20 15-901, subsection A, paragraph 1, of a pupil who is enrolled in both the
21 school district and in career technical education courses provided at a
22 leased centralized campus shall not exceed 1.75 if all of the following
23 conditions are met:

24 1. The course qualifies as a career technical education course.

25 2. The course is offered to all eligible students in each member
26 district of the career technical education district and enrolls students
27 from multiple high schools.

28 3. The career technical education district program in which the
29 course is included addresses a specific industry need and has been
30 developed in cooperation with that industry, or the leased facility is a
31 state or federal asset that would otherwise be unused or underutilized.

32 4. The lease is established at fair market value if the lease is
33 executed for a facility located on the site of a member district and was
34 approved by the joint committee on capital review, except that a lease
35 that was executed or renewed before December 31, 2012 is not subject to
36 approval by the joint committee on capital review.

37 S. A student who is enrolled in an accommodation school may be
38 treated as a student of the school district in which the student
39 physically resides for the purposes of enrollment in a career technical
40 education district and shall be included in the calculation of average
41 daily membership for either the career technical education district or the
42 accommodation school, or both.

43 T. Notwithstanding any other law, the student count for a career
44 technical education district ~~shall be~~ IS equivalent to the career
45 technical education district's average daily membership. Students in an
46 approved career technical education program provided by a satellite
47 campus, centralized campus or leased centralized campus may generate an

1 average daily membership subject to the limits prescribed by subsections
2 D, N, O, P, Q and R of this section, as applicable, for instruction
3 received during any hour of the day, during any day of the week and at any
4 time between July 1 and June 30 of each fiscal year. Average daily
5 membership shall not be calculated on the one hundredth day of instruction
6 for the purposes of this section. The department may not restrict the
7 instructional time by limiting the particular days of the week or time of
8 the fiscal year for instruction to occur. THE CAREER TECHNICAL EDUCATION
9 ~~DISTRICT~~ BOARD IS RESPONSIBLE FOR ANY FUNDING RELATED TO THE CAREER
10 TECHNICAL EDUCATION DISTRICT'S AVERAGE DAILY MEMBERSHIP.

11 U. A school district or charter school may not prohibit or
12 discourage students who are enrolled in that school district or charter
13 school from attending courses offered by a career technical education
14 district, including requiring students to generate a full 1.0 average
15 daily membership or to enroll in more courses than are needed to graduate
16 before enrolling in and attending programs or courses offered by a career
17 technical education district.

18 V. The governing board of the career technical education district
19 may contract with any charter school that is located within the boundaries
20 of the career technical education district to allow that charter school to
21 offer career and technical education courses or programs as a satellite
22 campus.

23 W. Beginning in 2020 and every five years thereafter, the career
24 and technical education division of the department of education shall
25 review career technical education district programs and career technical
26 education courses to ensure compliance, quality and eligibility. Any
27 program or course deemed to not meet the requirements set forth by law
28 shall not be funded for the current school year and shall be removed from
29 the approved program and course list for the purposes of funding. The
30 career and technical education division may establish a staggered schedule
31 for reviewing each career technical education district.

32 X. Notwithstanding subsection D, paragraphs 4 and 9 and subsections
33 P, Q and R of this section, for a student in grade nine, funding shall be
34 provided pursuant to this section only if the student reaches the fortieth
35 day of grade eleven enrolled in an approved career technical education
36 program and meets the requirements prescribed in subsection Z of this
37 section. At that time funding shall be provided for that student for
38 grade nine and for any subsequent year in which the student is eligible
39 for funding pursuant to this section.

40 Y. On or before September 1 of each year, the office of economic
41 opportunity in collaboration with the department of education shall
42 compile an in-demand regional education list of the approved career
43 technical education programs that lead to a career path in high demand
44 with median-to-high-wage jobs in that region. The office of economic
45 opportunity shall incorporate industry feedback as part of developing the
46 in-demand regional educational list. The office of economic opportunity

1 shall submit the in-demand regional education list to the Arizona career
2 and technical education quality commission for review and approval.

3 Z. Notwithstanding subsection D, paragraphs 4 and 9 and subsections
4 P, Q and R of this section, for a student in grade nine or in the school
5 year immediately following graduation, funding shall be provided pursuant
6 to this section only if the student is enrolled in a program that was
7 included on the in-demand regional education list compiled pursuant to
8 subsection Y of this section for that student's region for the year in
9 which the student began the program.

10 AA. For the purposes of this section:

11 1. "Base year" means the complete school year in which voters of a
12 school district elected to join a career technical education district.

13 2. "Centralized campus" means a facility that is owned and operated
14 by a career technical education district to offer career technical
15 education district programs or career technical education courses.

16 3. "Lease" means a written agreement in which the right to occupy
17 or use real property is conveyed from one person or entity to another
18 person or entity for a specified period of time.

19 4. "Leased centralized campus" means a facility that is leased and
20 operated by a career technical education district to offer career
21 technical education district programs or career technical education
22 courses.

23 5. "Satellite campus" means a facility that is owned or operated by
24 a school district or charter school to offer career technical education
25 district programs or career technical education courses.

26 Enroll and engross to conform

27 Amend title to conform

And, as so amended, it do pass

MATT GRESS
CHAIRMAN

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02/17/2026

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H: CH/lr/ra

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